

Bid (Definition)

- A document prepared by sellers providing pricing for standard items that have been clearly defined by the buyer

Definition: Acquiring goods and services for a project from outside the performing organization

Main Processes

- ① planning Procurement → What to procure
- ② Conducting → Obtaining seller responses
- ③ Controlling → Managing relationship with sellers

Steps after planning for**Procurement Management**

- Decide whom to ask to do the work and appropriate documentation
- Obtain proposals / bids
- Select a seller
- Award a contract

PTA → Types of Contracts

- fixed price / lump sum
- cost-reimbursable contracts
- Time and material contract
- Unit price contracts

Chapter 12 :
Project Procurement
Management

Tools / Technique

- Make or buy analysis
- Expert Judgement → from both inside and outside
- Market Research → for services

Suggestions for change control in contracts

- Evaluation of any change should include an impact analysis
- Have backup plans
- Changes must be documented in writing
- use tools / techniques

Statement of Work (SOW) :

- A description of the work required for the procurement

Closing Procurement

- Involve completing / settling contracts
- Determine was completed correctly
- Contract itself should include requirements for formal

Procurement or Bid Documents

- Request for proposal - used to solicit proposals
- Requests for Quotation - used to solicit quotes / bids